

The Lame Duck and their Shadows for the Future

Michael Manolakis
Economics 696 - Advanced Topics
University of Hawai'i at Mānoa
4th of April 2026

Definition of Lame Duck

example more example.

Motivation

yee haw

▶ oh no

Research Questions

1. How does the procedural justice of a leader's removal from power affect their incentive to engage in post-employment sabotage, and how does the anticipation of this behavior alter the optimal accountability strategy of their constituents?

OR

2. Can the threat of a leader's retaliatory response to a perceived procedural injustice create a "retaliation trap" that weakens electoral accountability and allows underperforming leaders to remain in power?

Pre-Treatment: Measuring Behavioral Types

Personality Battery

- ▶ **Dictator Game** → Measures **Altruism**
 - ▶ *Metric:* 'dictator_send' (0-100)
 - ▶ *Interpretation:* Higher value = More Pro-Social ("Public Servant")

- ▶ **Joy of Destruction** → Measures **Pure Spite**
 - ▶ *Metric:* 'destroy' (1/0)
 - ▶ *Interpretation:* 'destroy=1' = Latent Spite ("Power-Seeker")

- ▶ **Ultimatum Game** → Measures **Negative Reciprocity**
 - ▶ *Metric:* 'min_acceptable_offer' (MAO)
 - ▶ *Interpretation:* Higher MAO = Stronger Retaliatory Tendency

Why Not Other Methods

- ▶ **To Measure Revealed Preferences, Not Stated Opinions**
 - ▶ The games are **incentive-compatible**. Choices have real financial costs, revealing true preferences for altruism, spite, and retaliation.
- ▶ **To Avoid Biases Common in Surveys**
 - ▶ **Hypothetical Bias ("Cheap Talk")**: It costs nothing to say you would retaliate on a survey. It costs real money in the experiment.
 - ▶ **Social Desirability Bias**: Participants are unlikely to self-report "nasty" or spiteful tendencies, but their anonymous, incentivized choices will reveal them.

Participant Roles and Structure

At the start of a Treatment, the participant pool is divided:

1. **A "Principal" group of 3 Voters is selected.**
 - ▶ These 3 Voters are **fixed** for the entire session.
 - ▶ Their task is to monitor the Representative and vote on retention.
2. **All other participants form the "Representative Pool."**
 - ▶ At the start of each new game, one person is randomly drawn from this pool to serve as the **Agent (the Representative)**.
 - ▶ While not serving, members of the pool wait for the next game to begin.
3. **Removed Representatives become "Retirees."**
 - ▶ Once a Representative's term ends (either by vote or term limit), they make their one-time Legacy Decision.
 - ▶ After this, they are considered "retired" and do not participate within the same treatment. They are not returned to the pool.

The Core Task: The Slider Task

In every round, all 4 active participants (the Representative and the 3 Voters) perform a real-effort task that contributes to a common pool that will payout to only the voters at the end of the treatment.

- ▶ **The Task:** Participants use their mouse to precisely align a series of on-screen sliders within a 90-second time limit.
- ▶ **The Purpose:**
 - ▶ It serves as a measure of costly **effort**. A higher score requires more focus and work.
 - ▶ It creates a tangible link between performance and payoffs, as both the Representative's and the Voters' scores contribute to the Voters' Total Pool.
 - ▶ Representatives will earn a fixed income based on the amount of rounds they survive/are re-elected.

The Incentives

In every round, all 4 active participants perform a real-effort "slider task"¹ to generate a collective pot.

- ▶ **The Task:** Participants use their mouse to align on-screen sliders for 90 seconds. A higher score requires more costly **effort**.
- ▶ **The Incentives (The Principal-Agent Conflict):**
 - ▶ **Voters (Principal):** Earn a share of the collective pot. Their earnings depend directly on everyone's performance.
 - ▶ **Representative (Agent):** Earns a **fixed salary** for each round they remain in office. Their earnings are independent of their performance in the task.

¹This is a standard task for measuring effort in experimental economics (Gill & Prowse, 2012).

The Four Experimental Treatments

All treatments use an indefinite horizon: there is an 85% chance the game continues.²

Treatment 1: No Vote (Baseline)

Voters cannot vote. The Representative serves 3 rounds, at an intermediate round then determines a legacy decision.

Treatment 2: Endogenous Removal

- ▶ **2a - Betrayal:** Voters can remove the Rep by majority vote. The legacy decision is triggered **only if** they are voted out.
- ▶ **2b - Probabilistic:** If the Rep wins the vote, there is a 40% chance of removal ("unlucky winner"). If they lose, there is a 60% chance of removal.

Treatment 3: Term Limit (Accountability)

Voters can vote to remove the Rep. The legacy decision is triggered **only if** the Representative is *not* voted out and their game ends naturally via the continuation rule.

²Following Dal Bó (2005)

Key Design Choices: Justification (1 of 2)

Why an Indefinite Horizon?

- ▶ **Purpose:** To minimize "end-game effects" where behavior changes near a known final round.
- ▶ **Mechanism:** A random continuation probability (Dal Bó, 2005) makes each round feel strategically similar, removing the "pseudo-term limit" of a fixed-length game.

Why the "Survivors Only" Rule in T3?

- ▶ **Purpose:** To create a clean control group for a **procedurally just** institutional exit.
- ▶ **Mechanism:** By focusing only on Representatives who successfully completed their term, to isolate the reaction to a predictable, non-personal removal.

Key Design Choices: Justification (2 of 2)

Why the Probabilistic Removal (T2b)?

- ▶ **Purpose:** To achieve clean **causal identification** of the "betrayal effect."
- ▶ **Mechanism:** It creates a group of "unlucky winners" (removed despite voter approval), which separates the effect of injustice from the confound of poor performance.

Why the 40% / 60% Probabilities?

- ▶ **Purpose:** To ensure the experiment has sufficient **statistical power**.
- ▶ **Mechanism:** A 40% chance of an "unlucky winner" makes the key event frequent enough to analyze. The 20-point gap between winning (40% removal) and losing (60%) maintains a salient incentive to perform well.

Hypothesis 1: The Procedural Injustice Effect

The Core Prediction

Unjust, arbitrary removal will trigger significantly more retaliation than a predictable, institutional removal, even when holding performance and voter approval constant.

The Test

Comparing the sabotage rate of "**Unlucky Winners**" with the sabotage rate of "**Term-Limited Survivors**". Where prediction is:

$$\text{Sabotage Rate (T2b Winners)} > \text{Sabotage Rate (T3 Survivors)}$$

The Alternative (Null Hypothesis)

There will be no significant difference in sabotage rates. This would imply that the *procedure* of removal does not matter, only the outcome.

Hypothesis 2: Key Comparisons

The "unlucky winner" effect vs pure betrayal (T2a) and a no-accountability baseline (T1)?

Pure Betrayal vs. Unlucky Winner:

- ▶ The sabotage rate for those purely **voted out** (T2a) will be high, likely similar to or higher than the "unlucky winners." This establishes the magnitude of the pure betrayal effect.

Accountability vs. No Accountability:

- ▶ The sabotage rate for **Term-Limited Survivors** (T3) will be different from the rate for those removed with **no voting at all** (T1). This tests if the mere presence of an accountability system alters end-of-term behavior.

The Alternative (Null Hypothesis)

- ▶ Comparing these treatments will show no difference, implying that neither a pure betrayal nor the presence of accountability has a distinct effect on sabotage rates beyond a simple institutional removal.

Hypothesis 3: Heterogeneity by Personality Type

The Prediction

The decision to sabotage, particularly in response to a perceived injustice (T2a and T2b), will be driven by stable personality traits. The prediction sabotage will be significantly correlated with pre-treatment measures of:

- ▶ Baseline Spite ($\text{destroy} = 1$)
- ▶ Negative Reciprocity (high MAO)

The Test:

With the use a regression analysis to test if the treatment effects are significantly stronger for individuals with these pre-identified "Power-Seeker" traits.

The Alternative (Null Hypothesis)

- ▶ Sabotage behavior will be uncorrelated with pre-treatment personality measures, implying the behavior is purely situational and not driven by stable underlying traits.

Generalizations

Political Model Component	Generalized Term	Examples in Contexts
The Representative	The Agent / Incumbent	CEO, fund manager, startup founder, department chair
The Voters	The Principal	Board of Directors, limited partners, tenured faculty
The “Power-Seeker”	Ego-Driven or Status-Motivated	Focused on empire-building
The “Public Servant”	Mission-Driven or Pro-Social	Focused on long-term firm value
Sabotage or Retaliation	Costly Post-Termination Externality	Expressed vindication; ex. Poaching key talent

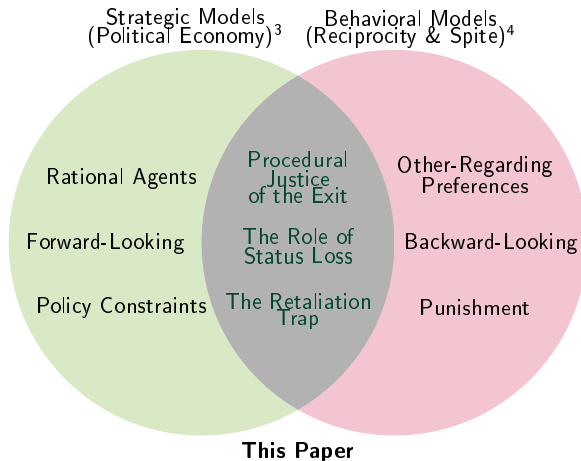
The Puzzle and Relationship

- ▶ **Strategic Models** (Alesina 1990) - Explain debt accumulation to constrain successors. (Rational & Macro-Level).
- ▶ **Behavioral Models** (Fehr 2006) - Explain reciprocity to unkind acts.
- ▶ **Missing Link: Post-Termination Externalities**
Neither explains the specific reaction to the loss of status and the procedural nature of the exit.

The Core Argument: Proposing that **Procedural Injustice** (feeling "betrayed" by voters) triggers latent "Dark Triad" preferences in specific types of leaders.

Appendix: Dark Triad

Mapping the Literature: Identifying the Gap



Appendix: To Alesina Models

Appendix: To Related Games

Appendix: Costly Punishment

¹Alesina (1990), Persson (1989)

²Fehr & Gächter (2000), Zizzo (2001)

The Setting (The Model Environment)

The Players:

- ▶ Voters (Principal): Risk-averse, want to maximize collective good.
- ▶ Representative (Agent): Private information on Type $\tau \in \{Good, Bad\}$.

The Types:

- ▶ Good (Public Servant): Low cost of effort, pro-social.
- ▶ Bad (Power-Seeker): High cost of effort, "Dark Triad" traits (Narcissism), high utility from retaliation.

The Timeline:

1. Performance: Rep exerts effort $\rightarrow$ Signal s_t observed.
2. Election: Voters update beliefs $\rightarrow$ Retain or Remove.
3. Legacy (The Twist): If removed, Rep chooses Sabotage, Neutral, Help.

The Agent's Utility: The Engine of Retaliation

The decision to Sabotage is driven by the agent's utility from their terminal action a , given the removal mechanism k and their type τ :

$$U_R(a \mid k, \tau) = W - C(a) + \psi(a, k, \tau)$$

Breaking it Down

- ▶ **W**: Final wealth (constant).
- ▶ **C(a)**: The direct cost of the action (parameter c). This is the **Price of Retaliation**.
- ▶ $\psi(a, k, \tau)$: The **Psychological Utility**. This is the core behavioral component. Lets assume:
 - ▶ $\psi(\text{Sabotage} \mid \text{Unjust, Bad}) > 0$
 - ▶ ψ is zero or negative in all other cases.

The Principal's Dilemma: The Retaliation Trap

The Principal will **Fire** a suspected 'Bad' Agent only if:

$$E[U(\text{New Agent})] > E[U(\text{Bad Agent})] + E[\text{Legacy Cost}]$$

Definition

- ▶ **E[Legacy Cost]:** The expected damage from sabotage.

Key Insight

- ▶ When the cost of retaliation (c) is low, the $E[\text{Legacy Cost}]$ becomes a **large negative number**, forcing the Principal to tolerate the 'Bad Agent'.

Formalizing the Equilibrium Concept

The model is solved for a **Perfect Bayesian Equilibrium (PBE)**, which is a set of strategies and beliefs where:

1. **The Representative's Strategy** ($e_t^*(\tau)$) is optimal for each type, given their beliefs about the Voters' removal rule.
 - ▶ This strategy balances the immediate cost of effort against the future benefit of remaining in office.
2. **The Voters' Strategy** (a removal rule) is optimal, given their beliefs (p_t) about the Representative's type.
 - ▶ This rule balances the benefit of removing a suspected 'Bad' type against the risk of incurring the $E[\text{Legacy Cost}]$.
3. **Voters' Beliefs** (p_t) are formed using **Bayes' Rule** and are consistent with the Representative's strategy.

Appendix: Bayes' Rule

Connecting Theory to Experiment

In the Theoretical Model	In the Laboratory Experiment
Effort (e_t) is an unobservable choice .	Effort is the real work of completing the Slider Task .
It produces a noisy signal of performance (s_t).	It is personally costly to the Agent.
It is personally costly (time, focus).	It produces a perfectly observable score ('slider_score' ⁵).

⁵The experimental 'slider_score' serves as the clean, measurable proxy for the theoretical concept of effort.

A New Theory of Weak Accountability

Contribution 1

The Conventional View

Weak accountability is often attributed to factors like voter apathy, high transaction costs of removal, or a lack of better alternatives.

Behavioral Explanation: The "Retaliation Trap"

To introduce a more behaviorally-grounded mechanism: rational **fear**.
The hopeful model formalizes how a Principal can become "held hostage" by a credible threat of a spiteful backlash from a removed Agent.

The Contribution

This reframes institutional inertia not just as a problem of indifference, but as a strategic equilibrium driven by the anticipation of negative psychological reactions.

A New Way to Measure the Effect

Contribution 2

The Core Empirical Challenge: Selection Bias

In the real world, it's impossible to separate a leader's reaction to being fired from the poor performance that caused the firing. We can't tell if they are angry because they were fired, or just an angry person.

Methodological Solution: The "Unlucky Winners" Design

The probabilistic removal treatment is designed to break this selection problem. By creating a group of leaders who are removed *despite* performing well enough to win the vote, we can hold performance constant by design.

The Expected Finding

This will provide clean, causal evidence that **how** a leader is removed (the procedure) is a distinct and powerful driver of their post-tenure behavior, separate from **why** they were removed (their performance).

Broader Implications

Contribution 3

For Policy

A New Justification for Institutions

I hope the findings provide a new rationale for institutions that raise the "price of retaliation." Things like executive non-disparagement clauses, "golden parachutes," or a strong free press can be seen as tools to make the threat of sabotage non-credible, thereby protecting the accountability process.

For Generalizability

Explaining Corporate & Organizational Inertia

The "Retaliation Trap" provides a powerful lens to understand why a corporate board might be slow to fire an underperforming but powerful founder-CEO. The fear is not just a messy transition; it is the fear of the Head actively sabotaging the firm by poaching talent, filing lawsuits, or damaging its reputation.

Summary of Findings (Expected)

Theoretical Contribution:

- ▶ To formalize the "**Retaliation Trap**": Low accountability is not just about laziness, but about **fear**.

Policy Implication:

- ▶ Institutions (Golden Parachutes, Norms, Laws) that **raise c (Cost of Retaliation)** are essential for efficient democracy.
- ▶ They allow voters to fire bad leaders without fear of burning the house down.

Experimental Goal:

- ▶ To provide the first causal evidence that **how you are fired matters** as much as why you are fired.

Contact Information

mmanolak@hawaii.edu
manolakis.work

Thank you!

Bayes' Rule

The Voters update their belief about the probability that the Representative is a 'Good' type (p_t) after observing the performance signal (s_t) according to Bayes' Rule:

$$\begin{aligned} p_t &= P(\tau = \text{Good} \mid s_t) \\ &= \frac{P(s_t \mid \tau = \text{Good}) \cdot p_{t-1}}{P(s_t)} \end{aligned}$$

Where:

- ▶ p_{t-1} is the prior belief.
- ▶ $P(s_t \mid \tau = \text{Good})$ is the likelihood of observing performance s_t given a 'Good' type (who chooses a high effort level e_{Good}^*).
- ▶ $P(s_t)$ is the total probability of observing s_t , calculated using the law of total probability over both types:

$$P(s_t) = P(s_t \mid \tau = \text{Good})p_{t-1} + P(s_t \mid \tau = \text{Bad})(1 - p_{t-1})$$

Appendix: Econometric Specification

Primary analysis will use a Probit model to estimate the probability of sabotage:

$$P(\text{Sabotage}_i = 1 \mid X) = \Phi(\beta_0 + \beta_1 \text{UnluckyWinner}_i + \beta_2 \text{TermLimited}_i + \Gamma' \text{Performance}_i + \Delta' \text{Controls}_i + \epsilon_i)$$

Where:

- ▶ Sabotage_i : Dummy = 1 if Representative i chooses to sabotage.
- ▶ UnluckyWinner_i : Dummy = 1 for subjects in T2 removed despite winning the vote.
- ▶ TermLimited_i : Dummy = 1 for subjects in T3 removed by rule.
 - ▶ *(The baseline group is T1: No Vote Term)*
- ▶ Performance_i : Vector of performance metrics.
- ▶ Controls_i : Vector of pre-experimental measures from the **Personality Battery**.

Central Hypothesis Test:

$H_0 : \beta_1 = 0$ vs. $H_a : \beta_1 > 0$. It is expected β_1 to be positive and significant.

The "Dark Triad" and Behavioral Predictions

The "Power-Seeker" type is a composite. The Personality Battery allows us to disentangle the underlying traits and their predicted effects:

Trait	Core Characteristic	Predicted Behavior in Experiment
Narcissism	Inflated self-view, high ego sensitivity.	Strongest reaction to procedural injustice. Most likely to sabotage as an "Unlucky Winner," as this is a direct narcissistic injury.
Machiavellianism	Strategic, manipulative, ends-justify-the-means.	Most sensitive to costs (c) and detection (p). Less likely to engage in "hot" emotional sabotage; may even "Help" if it serves a strategic purpose.
Psychopathy	Low empathy, impulsivity, weak norm-adherence.	Higher baseline rate of antisocial behavior. More likely to sabotage across <i>all</i> treatments, regardless of the mechanism of removal.

Alesina & Tabellini Model

Social Planner's Welfare

$$w_i = E_0 \left\{ \sum_{t=0}^T \sigma^t [u(c_t^i) + v(x_t^i) + \alpha_i h(g_t) + (1 - \alpha_i) h(f_t)] \right\}; 1 > \sigma > 0$$

Intertemporal Budget Constraint

$$\sum_{t=0}^T \bar{q}_t c_t \leq \sum_{t=0}^T \bar{q} (1 - \tau_t) (1 - x_t)$$

Party D's Welfare

$$W^D = E_0 \left\{ \sum_{t=0}^T \sigma^t [u(c_t) + v(x_t) + h(g_t)] \right\}$$

Party R's Welfare

$$W^R = E_0 \left\{ \sum_{t=0}^T \sigma^t [u(c_t) + v(x_t) + h(f_t)] \right\}$$

c_t is Private Consumption

x_t is Private Investment

g_t is Spending on Public Good 'g'

f_t is Spending on Public good 'f'

τ_t is Tax Rate

σ is Discount Factor

α_t is The Political Preference Parameter

$\bar{q}_t$ is Present Value Price

T is terminal period

The Foundation of Costly Punishment

- ▶ **Game:** Public Goods Game with two conditions.
- ▶ **"Without Punishment" Condition:** Standard VCM. Result: Cooperation decays to near-zero levels.
- ▶ **"With Punishment" Condition:** After the contribution stage, participants could pay a cost to reduce the earnings of other group members.
- ▶ **Cost of Punishment:** Paying 1 unit from your earnings could reduce a target's earnings by 3 units.
- ▶ **Key Result:** The threat of punishment sustained high levels of cooperation. Punishment was frequently used, especially against low contributors, even in the final period.

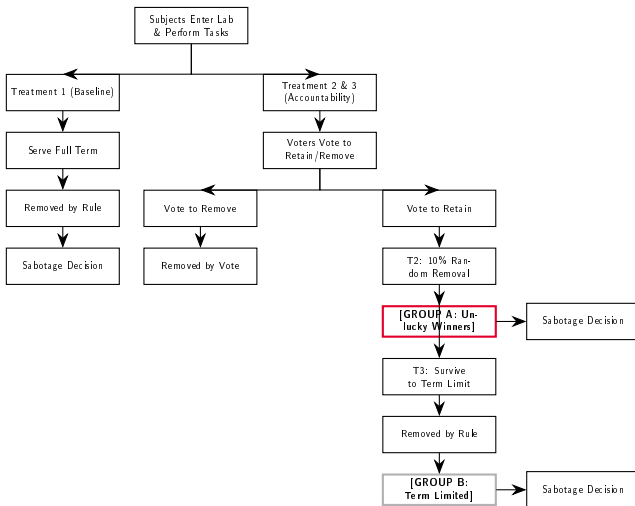
[Back to Mapping the Literature](#)

Zizzo & Oswald (2001): "Money Burning"

1. **Spiteful Preferences are Common:** Their main finding is that a majority of people (around two-thirds of their subjects) are willing to pay their own money to "burn" (destroy) the money of others. This is a direct measure of spite or "nastiness."
2. **It's About Relative Rank and Fairness:** Burning was significantly higher when the target was perceived as having earned their money through luck rather than effort, and when the burner was in a lower-ranked (disadvantaged) position.
3. **It's Costly:** Like punishment, this is a revealed preference. People are willing to become objectively poorer to make someone else even poorer.

[Back to Mapping the Literature](#)

Isolating Procedural Injustice



Core Comparison: Sabotage Rate of **GROUP A** vs. GROUP B